

BEST SMALL
BANK
**KARUR VYSYA
BANK**

SMALL WONDER

For Karur Vysya Bank,
growth stems from pairing
its enviable legacy with
an enthusiastic embrace
of technology

70 |

BY PRASHUN TALUKDAR



Ramesh Babu B, MD & CEO, Karur Vysya Bank

RAMESH BABU B, Managing Director & Chief Executive Officer of the 110-year-old Karur Vysya Bank (KVB), swears by the maxim that “success is not owned; it is rented.”

Building on its legacy, the bank, which has been adjudged the Best Small Bank in the *BT-KPMG Survey of India's Best Banks and NBFCs*, has embraced technology to stay ahead of

the competition. KVB has been steadily deploying artificial intelligence (AI) to improve operational efficiency, strengthen controls and support risk management.

On the operations side, the bank has centralised back-office processes and introduced automation and AI-led checks for voucher processing and reconciliation. Branches now scan vouchers and route them to a centralised unit, where they are read and transactions matched with the core banking system. Babu says

processing levels, which were initially around 5% due to handwriting and format-related challenges, have improved to 50–55% via straight-through processing as the models were refined.

In credit monitoring, the bank uses analytics and predictive models to identify accounts that may become stressed over the next one to one-and-a-half years. Based on historical data of accounts that became non-performing assets (NPAs), these models flag early